principal risks.[635] We believe that including this disclosure in the prospectus may overwhelm other important information. The proposed provision is designed to streamline risk disclosure in the prospectus, focus on essential information, and clarify current form requirements that emphasize the disclosure of "principal" risks. Funds would remain free to disclose non-principal risks in the SAI.

We are proposing several new requirements for principal risk disclosure that appears in the summary prospectus. First, we are proposing to insert the term "briefly" before the current requirement that the fund summarize the principal risks.[636] This proposed change is designed to address the concern that, for some funds, principal risk disclosure in the summary prospectus is overly lengthy. We have observed significant variations in funds' approaches to principal risk disclosures in the summary. For example, some funds describe just a few principal risks in less than 200 words, while other funds in the same category list 20 or more principal risks using more than 2,500 words. Some of the longest disclosures the staff has seen in the summary section exceed 7,000 words. Indeed, the staff has observed that some funds simply repeat risk information that appears later in the statutory prospectus instead of summarizing it.[637] The proposed change is designed to emphasize that principal risk

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635 *See* ADI 2019-08, *supra* footnote 67. The Form N-1A General Instructions currently prohibit the disclosure of non-principal risks in the summary prospectus (or summary section of the statutory prospectus), but no instructions currently prohibit this disclosure from appearing in other parts of the statutory prospectus. *See* General Instruction C.3.(b) to Form N-1A ("A Fund may include, except in response to Items 2 through 8, information in the prospectus or the SAI that is not otherwise required.").

636 *See* Item 4(b)(1)(i) of proposed Form N-1A. In both the current item and the proposed item, the summary of principal risks is based on information that the fund provides in response to Item (9).

637 *See* Fund Investor Experience RFC, *supra* footnote 8, at Section II.D.2.

disclosure that appears in the summary prospectus should be concise and succinct, with more detailed risk information to appear later in the statutory prospectus.

We are proposing an additional new instruction to the summary prospectus principal risk disclosure requirement stating that funds should describe principal risks in order of importance, with the most significant risks appearing first.[638] We believe that this presentation would highlight for investors the risks that they should consider most carefully. We have observed that it is currently common for funds to describe their principal risks in alphabetical order.[639] However, we believe that this approach could obscure the importance of key risks, especially when a fund discloses many principal risks. For example, a real estate fund that describes principal risks alphabetically may describe a number of less-relevant risks before describing the key risks of real estate investments. In some extreme cases, this presentation format could result in a fund's key risks being obscured to such an extent that it could render the disclosure potentially misleading. We understand that there are different ways of determining the relative significance of principal risks. The proposed new instruction therefore specifies that a fund may use any reasonable means of determining the significance of risks. For example, a fund could take an approach to ordering its principal risks in a way that considers the likelihood and possible severity of any loss resulting from each risk. This proposed new instruction would include an explicit statement that a fund should not describe principal risks in alphabetical order.

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638 *See* Instruction 2 to Item 4(b)(1) of proposed Form N-1A.

639 *See* ADI 2019-08, *supra* footnote 67.

Finally, we are proposing an additional instruction to the summary prospectus principal risk disclosure requirement that instructs a fund to, where appropriate, tailor its risk disclosures to how the fund operates rather than rely on generic, standard risk disclosures.[640] We have observed that some prospectuses for funds within a fund group commonly include generic, standardized risk disclosures for every fund in the group. Such standardized disclosure may be appropriate under certain circumstances. For example, "market risk," could be a principal risk for all funds in a complex. However, there are other circumstances in which generic, across-the-board risk disclosures for all funds in a fund complex may not be appropriate. For example, we do not believe it would be appropriate for a fund to include credit risk disclosure that discusses the heightened risks associated with below-investment-grade or distressed securities when the fund does not hold, or expect to hold, these types of investments.

We are also proposing amendments that would affect funds' principal risk disclosures in the statutory prospectus, as well as the summary prospectus. Specifically, we are proposing to add three new instructions relating to Form N-1A Item 9(c), which requires a fund to disclose the principal risks of investing in the fund in its statutory prospectus.[641] Because Item 4 of Form N-1A requires a fund to summarize the principal risks of investing in the fund, based on the information the fund provides in response to Item 9(c), the proposed new instructions to Item 9(c) would also affect the disclosure that a fund provides in the summary prospectus in response to Item 4.

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640 *See* Instruction 3 to Item 4(b)(1) of proposed Form N-1A.

641 *See* Instructions 1 through 3 to Item 9(c) of proposed Form N-1A.

Proposed Instruction 1 states that in determining whether a risk is a principal risk, a fund should consider both whether the risk would place more than 10% of the fund's assets at risk ("10% standard") and whether it is reasonably likely that a risk will meet this 10% standard in the future. Today, funds may be using varying standards to determine whether a risk is a principal risk. This makes it difficult for an investor to compare risks among funds. This proposed instruction is designed to clarify the meaning of the term "principal risk" by providing quantitative guidance as to what a fund should consider when it determines whether a risk is a principal risk. For example, a fund that invests 10% or more of its assets in a particular sector, such as financial services or consumer staples, could determine that it should disclose a "principal risk" relating to its investments in that sector. A fund also could determine that it should disclose a "principal risk" in some circumstances when the fund uses less than 10% of its assets to make investments, when those investments may subject the fund to risk of loss of more than 10% of its assets, for example, a fund that engages in short sales or derivatives trading.

The "reasonably likely" language is designed to reflect that a risk may not be a principal risk when first disclosed but may become a principal risk over time, due to changing conditions or the fund changing its strategies.[642] For example, interest rate risk for a fixed income fund could increase depending on government action that affects interest rates. As another example, a fund investing in U.S. equities may change its strategy to include foreign investments and thus may introduce foreign investment risk. Therefore, if the fund considers it reasonably likely that a risk will become a principal risk in the future, it should consider

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[642] The "reasonably likely" standard is a standard already used to describe principal risks in Items 4(b)(1)(i) and 9(c) of Form N-1A..

whether to include it in the prospectus to help ensure that when it becomes a principal risk, investors will be informed. On the other hand, the proposed "reasonably likely" language reflects our view that risks that are not likely to become principal risks should be excluded from a fund's principal risk disclosure, consistent with the purpose of streamlining the prospectus.

Proposed Instruction 2 is addressed to a fund investing in other funds (an "acquiring fund" and an "acquired fund," respectively), commonly known as a "fund of funds."[643] We have observed that many acquiring funds disclose all of the principal risks of each of their acquired funds as part of their principal risk disclosure. In some cases, acquiring funds list over 70 principal risks. The proposed instruction states that, in the case of acquiring funds, risks should be included only if they are principal risks of the acquiring fund, and that a principal risk of an acquired fund should not be included unless it is a principal risk of the acquiring fund. In the case of an acquiring fund, disclosing the risks of acquired funds could obscure information relating to principal risks of the acquiring fund. We believe that the key consideration for an investor relates to the principal risks of the fund in which the investor is actually buying shares, *i.e.*, the acquiring fund, and the proposed instruction is therefore designed to help an investor focus on principal risks that are most applicable to his or her investment. A principal risk of an acquired fund might be a principal risk of the acquiring

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643 While the Commission recently proposed rules relating to fund of funds arrangements, this proposal did not address risk disclosure by funds investing in other funds. *See* Fund of Funds Proposing Release, *supra* footnote 608.

fund when, for example, the acquiring fund invests a substantial portion of its assets in an acquired fund (or the risk is shared by multiple acquired funds).[644]

Proposed Instruction 3 is addressed to funds whose strategy provides the freedom to invest in different types of assets at the manager's discretion. This could occur if, for example, the manager has discretion to change the fund's strategy. These funds are commonly known as "go anywhere" funds. This instruction would provide that, if the fund's strategy permits the manager discretion to invest in different types of assets, such fund must disclose that an investor may not know – and has no way to know – how the fund will invest in the future and the associated risks. This proposed instruction would make that principal risk explicit in the fund's disclosure.

We seek comment on the proposed amendments to prospectus disclosure requirements regarding funds' principal risks, and specifically on the following issues:

256. Is the proposed amendment in the General Instructions to Form N-1A to preclude disclosure of non-principal risks in the statutory prospectus appropriate? Would the proposed amendment further the goal of streamlining risk disclosure in the prospectus and focusing on essential information? Should the proposed amendment to the General Instructions instead use another standard in precluding the disclosure of certain less-central risks in the fund's prospectus, such as prohibiting the disclosure of "non-material" risks? If so, what should this alternative standard be and how should we define it?

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644 For example, if a particular risk of the acquired funds in the aggregate places more than 10% of the acquiring fund's assets at risk, that risk is a principal risk of the acquiring fund. *See also* Instruction 1 to Item 9(c) of proposed Form N-1A.

257. Is the proposed amendment to Form N-1A Item 4(b)(1)(i), which specifies that a fund should "briefly" summarize principal risks, appropriate? Would this proposed amendment help emphasize the Commission's goal of making the principal risk disclosure in the summary prospectus concise and succinct?

258. Is the proposed new instruction to Item 4(b)(1)(i), providing that a fund in a complex should describe principal risks in order of importance, appropriate? Is it helpful to expressly provide in the proposed instruction that a fund may use any reasonable means to determine the significance of the risk? Should the proposed instruction be more prescriptive as to how a fund should determine the significance of risk, and if so, what method for determining risks' significance should the instruction specify (for example, should the proposed instruction specify ways in which a fund could—or must—quantify likelihood and severity of risk, and if so what methods for quantification should the instruction specify)? Should additional guidance be provided? Is it appropriate to expressly state in the proposed instruction that a fund should not list its principal risks in alphabetical order? Are there circumstances where an alphabetical order presentation may be appropriate and if so which ones?

259. Should the number of principal risks that funds disclose in the summary prospectus be subject to any limits? Should we require a minimum number of risks to be disclosed? For example, would five be sufficient? Should we impose a maximum number of risks that may be disclosed in the summary? For example, would more than twenty-five be too many?

260. Is the proposed new instruction to Item 4(b)(1)(i), providing that a fund should tailor its risk disclosure to how each particular fund in the complex operates, appropriate?

Does this proposed instruction provide adequate guidance as to tailoring risk disclosure? Should additional guidance be provided?

261. With regard to Form N-1A Item 9(c), is the proposed new instruction on the factors a fund should consider in determining whether a risk is a principal risk useful and appropriate? Would it give investors adequate information regarding the risks they should consider in determining whether to purchase shares of the fund? Is the proposed standard for considering whether a risk is a principal risk—that the risk is one that would place more than 10% of the fund's assets at risk (or it is reasonably likely that it would place more than 10% of the fund's assets at risk in the future)—appropriate? Should the proposed 10% be more or less? For example, should the standard be 5% or 20% of the fund's assets at risk? If so, why? Should there be a numerical standard associated with the instruction for determining whether a risk is a principal risk, and if so, what quantitative or other criteria should inform this standard? Is the applicability of the 10% standard to the fund's assets appropriate? Would a 10% standard help achieve the goal of providing user-friendly, clear and succinct disclosures? If not, why not? Is the "assets at risk" standard clear and appropriate? If not, why not? Would the proposed instruction providing that a fund should consider whether it is "reasonably likely" that a risk will become a principal risk in the future give adequate notice of future risks? Is this provision sufficiently clear? Is the term "reasonably likely" clear? Should we provide guidance or a definition regarding this term? Are there other means of determining principal risks that would be more effective? Should there be guidance regarding consideration of non-investment related risks, such as cybersecurity risk and new fund risk, as principal risks?

262. Is the proposed instruction that addresses risk disclosure in fund-of-funds arrangements appropriate? Would this proposed instruction be effective in promoting the policy goal of helping investors focus on the principal risks of the fund in which the investor is purchasing shares?

263. Is the proposed instruction addressing the principal risks of "go-anywhere" funds appropriate? Would this instruction effectively convey the uncertainty of the fund's investments and the associated principal risks? If not, what amendments would improve the instruction?

264. Are there other changes we can make to risk disclosure to make this information more investor-friendly, clear and succinct?

265. The Commission recently adopted amendments to rule 8b-16(b) under the Investment Company Act, which would require registered closed-end funds that rely on this rule to include—among other things—new disclosure about their principal risks in their annual reports.[645] Should we extend any of the proposed amendments to open-end funds' prospectus risk disclosure to closed-end fund prospectus disclosures or the new annual report risk disclosures required for certain closed-end funds? If so, how should we amend the risk disclosure requirements for these closed-end funds?

3. Prospectuses and SAIs Transmitted Under Rule 30e-1(d)

We are proposing to rescind rule 30e-1(d), which permits a fund to transmit a copy of its prospectus or SAI in place of its shareholder report, if it includes all of the information that

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[645] *See* Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Section II.I.5; *see also supra* footnote 132 and accompanying text.

would otherwise be required to be contained in the shareholder report.[646] Shareholder report and prospectus disclosures have historically served different purposes, with each catering to the different informational needs of prospective fund investors and current shareholders.[647] We understand that funds very rarely rely on rule 30e-1(d) to transmit a prospectus or SAI in place of a shareholder report. Additionally, we believe that allowing funds to consolidate their prospectus, SAI and shareholder report disclosures into a single document would result in shareholders receiving long, complex, and overlapping fund disclosures which could cause shareholder confusion and fatigue. This result would not be consistent with the goals of this rulemaking proposal.

We seek comment on our proposal to rescind rule 30e-1(d):

266. Do funds currently rely on rule 30e-1(d)? If so, which funds, and why?

267. Would investors benefit from receiving in the fund's prospectus or SAI the disclosure that would otherwise have to appear in the shareholder report? Would this cause

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646 *See* rule 30e-1(d). When the Commission initially adopted rule 30e-1(d), it allowed a fund to send a copy of its prospectus or SAI, or both, instead of a shareholder report, so long as such prospectus or SAI included certain financial information and information about director's compensation. *See* Standardized Financial Statement Requirements in Management Investment Company Registration Statements and Reports to Shareholders, Investment Company Act Release No. 11490 (Dec. 15, 1980) [45 FR 83517 (Dec. 19, 1980)]. However, when the Commission expanded the required shareholder report disclosures, it simultaneously amended rule 30e-1(d) to limit a fund's ability to use a prospectus or SAI in place of a shareholder report by requiring that a fund include in such a prospectus or SAI *all* the information that would otherwise be required in the shareholder report. *See* Role of Independent Directors of Investment Companies, Investment Company Act Release No. 24082 (Oct. 14, 1999) [64 FR 59826 (Nov. 3, 1999)].

647 *See supra* Section II.A.2 (discussing the differences between shareholder report and prospectus disclosures and noting that the shareholder report provides information to a fund's current shareholders about the fund's operations and performance during the past fiscal period, while the prospectus acts as the principal selling document for investors to inform investment decisions and facilitate fund comparisons).